

is so depleted that the retiree must rely on others (often adult children) for support. This is particularly important in light of the ongoing improvements in mortality. On the whole, retirees of today will live longer and have to support longer retirements than their predecessors. For healthy individuals in their sixties, we are approaching the point where forty years must replace thirty years as a conservative planning horizon.

Retirees experience reduced risk capacity as they enter retirement. Their reduced flexibility to earn income leaves them more vulnerable to forced lifestyle reductions resulting from the whims of the market. A probability-based strategy could backfire.

Investment assets may also be less liquid than they appear. Though they are technically liquid, a retiree who spends assets that were meant to cover spending needs later in life may find that those later needs can no longer be met.

Additionally, with age come declining cognitive abilities, which make it increasingly difficult to manage investment and withdrawal decisions required for a systematic withdrawal strategy. However, these concerns may be offset by allowing a trusted family member to handle your finances or working with a professional financial planner.

The Advantages and Disadvantages of Insurance in Retirement

Insurance companies pool sequence and longevity risks across a large base of retirees—much like a traditional defined-benefit pension—allowing for retirement spending that is more closely aligned with average long-term fixed-income returns and longevity. This could support a higher lifestyle than what is feasible for someone self-managing these risks by assuming low returns and a longer time horizon.

Guarantees can also provide peace of mind for your lifestyle that leads to a less stressful and more enjoyable retirement experience. Overly conservative retirees become so concerned with running out of money that they spend significantly less than they could. A monthly annuity payment can provide the explicit permission to spend and enjoy retirement. A dependable monthly check from an annuity can also simplify life for those